

Exemptions to facilitate Make in India

The excise duty/CVD as well as SAD have been abolished on inputs, parts and components as well as sub-parts for the manufacture of chargers, adaptors, batteries, wired headsets or speakers for mobile phones, subject to actual user conditions. At the same time, a differential duty structure has been created on chargers, adaptors, batteries, wired headsets or speakers for mobile phones wherein two per cent CVD is applicable if CENVAT credit is not availed on these products, but 12.5 per cent is applicable if that is availed. To further support manufacturing, exemption of BCD on chargers, adaptors, batteries, etc, for mobile phones has been increased from zero per cent to five per cent. BCD has been reduced to nil on all inputs, parts and components of the above products.



“Manufacturers importing specified mobile parts/accessories like chargers, speakers, headsets and batteries are now required to pay the normal customs duty rate on importing these products. The beneficial scheme for mobile phones has been altered to incentivise actual manufacturing of mobile phones from the parts/components level and dis-incentivise SKD manufacture of mobile phones. The intention appears to be to create a manufacturing ecosystem through a process of backward integration.” —**Mahesh Jaising, partner at BMR & Associates, LLP**

“This makes a strong case for making these products in India. Those who import will need to pay 12.5 per cent excise duty and domestic makers will have to pay two per cent.” —**Pankaj Mohindroo, national president, Indian Cellular Association**

“The same way, as it was done for mobiles and tablets, a 10.5 per cent duty differential benefit has been created for those who manufacture/assemble these products locally viz-a-viz imports, which will attract the full 12.5 per cent CVD.

“Regarding components, the obstacle for local manufacturers is that they will have to get the actual user certificate from the manufacturer of the charger or the wired headset locally. Only then will they be able to supply at a rate excluding the excise duty. This is the only obstacle that has to be overcome.

“This problem will not be faced if components are imported from outside, but only if these are manufactured locally. The local manufacturers will also have a CENVAT overflow because they will be buying inputs. So this amendment brings the direct benefit up to the mobile accessory stage and does not encourage local component manufacturers. This needs to be addressed, even before the next budget, through an interim policy amendment. The government should provide some incentives for local components procurement. Local component manufacturers can supply electronic components such as resistors, capacitors and some connectors that are being made locally. In this budget, all these components are allowed with zero import duty.”

—**Rajoo Goel, secretary general, ELCINA**

“The proposal to abolish excise duty on inputs, parts, components and sub-parts for the manufacture of chargers/adaptors, batteries and wired headsets/speakers of mobile phones is a welcome move, and will eventually promote local manufacture of these components. However, exemption from basic customs duty, CVD and SAD on chargers/adaptors, batteries and wired headsets/speakers for mobile phones being withdrawn will increase the cost of the mobile phones till the time the companies manufacture these products domestically.” —**Rajesh Agarwal, co-founder Micromax**

“Buoyed by the success of mobile handset manufacturing, where introduction of a differential excise duty structure has led to the setting up of production facilities in India by several leading mobile handset vendors, both Indian and foreign, the government has widened its scope to cover additional high-consumption products in the Budget 2016-17. It would, however, be a challenge to supply locally manufactured inputs to domestic manufacturers of product categories brought within the ambit of the differential excise duty structure due to zero CVD and the applicable BCD on their inputs (for non-ITA-1 inputs).” —**Vinod Sharma, chairman, CII National Committee on ICTE Manufacturing and MD, Deki Electronics Ltd**

“This is basically done to improve the value chain of these products. The government has created almost a 26.93 per cent duty difference between imported products and finished products that are domestically manufactured. It has imposed customs duty, CVD and SAD, which is not available in the case of imports. So if you manufacture these products in India, all these three duties are exempted. Now the only problem that the government should address is abolish CST for finished products, due to which two per cent gets added to the cost.

“Further, this amendment creates an opportunity for local component manufacturers. Today, when people are importing finished products, the very survival of the component suppliers in India is under threat. But now there will be a huge demand for components within the country; so component manufacturers should compete and cater to that demand.” —**Nitin Kunkolienker, VP, MAIT**